

MGT 211 Short notes

Lecture 1 to 22

Lecture 01

★ **Business:**

Definition:

- ★ Any activity to earn profit.
- ★ The word “business” is derived from the term “busyness.”

★ **Entrepreneurship**

A phenomenon in which a person searches for an opportunity and try to avail it.

★ **Components of business**

- ★ Industry
- ★ Commerce

★ **Industry**

- ★ Conversion of raw material into finished goods.
- ★ This is a form utility.

★ **Types of Industry**

★ **Primary Industry**

- ★ Extractive Industry _ Extraction of underground resources.
- ★ Genetics _ People doing business by changing genes.

★ **Types of industries**

★ **Secondary Industry**

- ★ Construction _ Construction of buildings, roads, bridges etc.
- ★ Manufacturing _ Conversion of raw material into final goods.
- ★ Services _ Banking, consultancy, accountant, Lawyer, Interior decorator, designer, music composer etc.

★ Commerce

All those activities which start from the warehouse of the manufacturer to the buyer.

★ Types of commerce

★ Trade

- ★ Trade means buying and selling

- ★ Aid to trade

- ★ Institutions that are meant and build to assist and support the trading process.

★ Factors of production

- ★ Labor _ People working in an organization.

- ★ Capital _ Amount invested by investor in the business.

- ★ Entrepreneurship _ Management ability of the people who are running the business.

- ★ Physical Resources _ Land, labor, building, vehicles, machinery etc.

★ Economic System

- ★ A system for allocation of resources.

★ Types of Economic Systems

- ★ Planned Economy

- ★ Free market Economy

★ Types of environmental forces

★ External Forces

- ★ Factors found outside an organization.

- ★ These factors are not controllable by the organization.

- ★ Types of environmental forces

★ Internal Forces

- ★ Factors within the organization.

- ★ These are controllable by the organization.

★ SWOT Analysis

- ★ Strengths

- ★ Weaknesses

- ★ Opportunities

- ★ Threats

Lecture 02

★ External Factors

- ★ Economy of the country

- ★ Per capita income of the country

- ★ General employment or unemployment

- ★ Economic Growth

- ★ Exchange rate

- ★ Inflation rate

★ Demographic factors

- ★ Demographic factor is a study of population

- ✧ Population brings customers.
- ✧ Population tells the size of market and nature of customers.

✧ **Total Population**

✧ **Population Distribution**

- ✧ Distribution on the basis of gender
- ✧ In Pakistan female population is further divided into two categories:
- ✧ Household Women
- ✧ Working Women

✧ **Population growth rate**

- ✧ The rate at which population of an area increases/decreases.

✧ **Political and Legal factors**

✧ **Political Factors**

- ✧ Preference and priorities of the Government
- ✧ Attitude of the Government towards Exports
- ✧ Government taxation policy

✧ **Legal factors**

- ✧ Laws related to Health
- ✧ Laws related to Imports and Exports
- ✧ Laws related to Taxation
- ✧ Laws related to Packing
- ✧ Laws related to Child Labor
- ✧ Laws related to Labor Union

✧ **Technological Factors**

- ✧ Business people have to pace with the technological advancements.

✧ **Socio cultural Factors**

✧ **Religion**

- ✧ Followers of one religion have influence over the buying behavior of the society.

✧ **Natural Factors**

- ✧ Act of God
- ✧ Natural factors are out of our control
- ✧ Business people will develop product considering natural resources

Lecture 03

✧ **Sole Proprietorship:**

Definition

Sole Proprietorship is that type of business which is owned by one person.

✧ **Advantages of Sole Proprietorship**

- ✧ Freedom in formation
- ✧ The easiest to establish
- ✧ Individuals are allowed to decide without interference of any other person.
- ✧ Easier to transfer the ownership of the business
- ✧ People wholly solely enjoy the ownership of the business and profits

- * Individual has unlimited opportunity to expand the size of the business
- * Individual can keep the secrets of the business intact
- * Individual has personal interest in the business
- * Owners can make speedy decisions
- * Easy to dissolve

★ **Disadvantages of Sole Proprietorship**

- * Limited amount of capital
- * Continuity problem
- * Sole Proprietorship has limited life and is dependent on the owner
- * Owner of the business has unlimited liability towards people whom he has to pay

★ **Partnership**

- * A relationship of the people to share investments and profits
- * Partnership act 1932 governs all affairs of the partnership

★ **Advantages of Partnership**

- * More capital
- * Relatively easier to form
- * Sharing of responsibility
- * Light credit standing
- * Business can have more loan from various sources
- * Secrecy
- * Public Confidence
- * Better Decision
- * Easy to dissolve

Lecture 04

★ **Disadvantages of Partnership**

★ **Unlimited Liability**

Partners will have to pay all the debts of the business even from their personal property.

★ **Shorter Life**

Partnership ends when one of the partners dies or becomes insane

★ **Limited Capital**

Partners run the business from their own capital. Sometimes, that capital becomes limited to meet the requirements of the business.

★ **Lack of interest**

Profit is divided among the partners. So, partners do not take keen interest in the business.

★ **Slow Decision Making**

Partners might have different point of view regarding a particular matter. So, decision making is relatively slow.

- * It is difficult to transfer the rights of partnership.
- * There is always a chance of conflict.

★ **Types of Partners**

★ **Active Partner** is one who participates in all the affairs of the business.

★ **Secret Partner** is one who has invested in the business but he/she is not known to general public.

★ **Sleeping Partner** is one who is not very active in the affairs of the business.

★ **Senior Partner** is one who has invested the maximum amount in the business.

★ **Junior Partner** is one who has invested the minimum amount in the business.

★ **Types of Partnership**

★ **Partnership at will**

Life of the partnership depends upon the will of the partners.

★ **Limited Partnership**

★ That business in which at least one partner has the limited liability.

★ Investor is liable to the amount; he/she has invested in the business only. This is called **Limited Liability**

★ There will be at least one partner who has the unlimited liability.

★ **Particular Partnership**

★ Partnership formed for a particular purpose.

★ It is dissolved automatically at the achievement of the purpose.

★ **Termination of Partnership**

★ **By Notice**

A partner can terminate partnership by giving notice to other partners due to any reason.

★ **Upon Death**

Partnership will automatically be terminated at the death of any partner.

★ **Partnership Deed**

A document that contains the terms and conditions of the business.

★ **Contents of Partnership Deed**

★ Date on which the agreement was made.

★ Name of the business.

★ Nature of the business.

★ This clause will cover the scope of the business.

★ Names, addresses, telephone Numbers and emails of the partners.

★ Capital of the business.

★ If duration is attached with any business that should clearly be mentioned in the partnership deed.

★ Duties of the partners.

★ Whether any partner is entitled to salary. If yes, how much amount should be given to him as salary.

★ Profit distribution ratio.

★ Whether partners are entitled to withdraw money from the business. If yes, procedure of withdrawals should also be written in the partnership deed.

★ Arbitration

★ In case of a conflict, how that conflict would be resolved before going to the court.

★ The partner should read the partnership deed carefully, add as much clauses as possible and never take anything for granted.

★ **Rights of the partners**

★Every partner has the right to:

- ★ Participate in all the affairs of the business.
- ★ Get his/her share of profit from the business.
- ★ Leave the partnership according to the terms and conditions of the partnership deed.
- ★ Claim the salary against his/her services.
- ★ Participate in the management of the business.

Lecture 05

★ Duties of Partners

- ★ Partners have to maintain accounts which describe the true picture of the business.
- ★ Partners should use their powers within limits specified in the partnership deed.
- ★ Partners are responsible to provide accurate information to Government bodies.
- ★ Partners are responsible to pay their share in case of loss to the business.
- ★ It is duty of every partner to obey the decision that has been made in the partnership.
- ★ Partners should not disclose any secret information about the business to any other person.
- ★ It is a moral obligation and legal responsibility of the partners not to use firm's forum to take any advantage without intimating to other partners.

★ Joint Stock Companies

- ★ Joint Stock Companies are formed under the Companies Ordinance 1984.
- ★ Joint Stock Company is an association of persons for making profit.

★ Advantages of Joint Stock Companies

- ★ We can expand the business
- ★ Credit facility
- ★ More capital
- ★ With more capital and more expertise, companies have more chances to earn more profit.
- ★ Expansion in the scale of business
- ★ Responsibility of investor is limited to the face value of shares. This is called **Limited Liability**.
- ★ If one person dies or leaves the country, it does not have any impact on the business.

- * Life of the joint stock company is longer than sole proprietorship and partnership.
- * It is easy to transfer rights.
- * Company can hire better experts which results in better management.
- * Public place more confidence in companies rather than in any other form of business.
- * Anyone can exit from joint stock company by selling his/her shares.

★ **Disadvantages of Joint Stock Companies**

- * Formation of Joint Stock Company is very lengthy, very complicated and very technical job.
- * Lack of interest.
- * There is not much secrecy found in companies.
- * Companies pay double taxation to the Government.
- * Delayed decision making
- * Power is centralized because there are few people who hold major portion of company's shares.

★ **Public Limited Company Vs Private Limited Company**

★ **Number of members**

- * For a public limited company, minimum numbers of members are seven.
- * For a private limited company, minimum numbers of members are two.

★ **Issue of shares**

- * Public limited company is bound to promote issue of shares to general public through media.
- * There is no such provision for private limited company.

★ **Name of the company**

- * Public limited companies add the word "Ltd." with their name.
- * Private limited companies add the word "(Pvt) Ltd." with their name.

★ **Annual report**

- * Public limited companies have to present their data to general public.
- * There is no such provision for private limited company.

★ **Transfer of shares**

- * It is easy to transfer shares in public limited companies.
- * In private limited company, shareholder cannot transfer the shares without the consent of other members.

★ **Statutory meeting**

- * It is obligatory for the public limited company to hold statutory meeting.
- * There is no such obligation for private limited company

★ **Submission of annual report**

- * It is obligatory for the public limited companies to submit their annual report to registrar Corporate Law Authority.
- * It is not necessary for private limited company.

★ **Taxation**

- * Public limited company pays double taxation at different income tax rates.
- * Private limited company pays tax only once at different income tax rates.

★ **Promotion Stage**

- ★ Initiation of idea
- ★ Further discussion with other people
- ★ Collection of further information regarding sales, profitability, availability of machinery, restrictions of the Government etc.

★ **Some other factors**

- ★ Is there a need for a license for this business?
- ★ Is N.O.C required from the Government?
- ★ Promoters have applied for license and permission.
- ★ If copyrights are involved, permission of the principal company is also required.
- ★ People started work for getting their own name and business registered.
- ★ Requirement of funds.

★ **Preparation of Documents**

★ **Memorandum of the company**

A document that contains Name, address, objective and capital of the company.

★ **Articles of association**

A document that contains rules and regulations of the company.

★ **Prospectus**

Prospectus is an initiation for offer.

★ **Incorporation Stage**

- ★ All the documents will be filed to the registrar joint stock companies to seek permission for the business along with the registration fee.
- ★ Experts will examine these documents and make sure that all claims are justified or not.
- ★ If they are satisfied, a certificate of incorporation will be issued to the company.

★ **Collection of Capital**

- ★ Promoters will inform the general public that business is going to be started.
- ★ They will ask the people to invest in the business.
- ★ This is capital subscription stage.
- ★ Share or stock is the smallest unit of investment.
- ★ Stock exchange is a market where people exchange their shares.
- ★ Debenture is a kind of loan which is acquired from the market.
- ★ Certificate of commencement is issued by the Government when commencement of business is allowed.

Clauses of Memorandum of Association

★ **Name of the business**

- ★ We cannot suggest a name that has already been registered.
- ★ We cannot suggest a name after our National Heroes.
- ★ Registered office of the company.
- ★ Objective clause of the business.
- ★ Authorized capital of the company.

★ **Liability clause**

Liability of the investor is limited to the extent of investment in the business.

- ★ Association clause.

★ **Articles of Association**

- ★ Share capital of the company.
- ★ Procedure to change the capital.
- ★ Procedure for meetings.
- ★ Procedure for voting.

★ **Appointment of directors.**

Directors are the officials of the company who are appointed to run the affairs of the business.

- ★ Duties and authorities of directors.
- ★ Rights of shareholders.

★ **Meetings.**

★ Meeting of shareholders.

★ Meeting of directors.

- ★ Disqualifications.
- ★ Seal of the company.

★ **Distribution of dividend.**

Profit distributed among shareholders is called dividend.

★ **Decision for retained earnings.**

★ Retained earning is a part of the profit retained by the company for future operations.

- ★ Appointment of auditors.
- ★ Winding up of companies.

Lecture 07

★ **Shareholders' meetings**

- ★ Statutory Meeting is the first meeting after commencement of business.
- ★ Annual General Meeting is the meeting of the company once in a year.
- ★ Extra Ordinary General Meeting.

★ **Statutory Meeting**

- ★ Section 77 of The Companies Ordinance 1984 deals with such type of meeting.
- ★ The company must give 21 days notice to shareholders prior to the meeting.

★ **Matters to be Discussed:**

- ★ Amount of capital acquired.
- ★ Details of machinery purchased.
- ★ Details of development in all areas of the business.
 - ★ Sometimes, issue of share capital does not give minimum amount set by the company.
- ★ Underwriters are those organizations which guarantee the company to buy the remaining shares, if minimum requirement is not met.
- ★ Statutory report will also tell about the underwriters and commission paid to them.
- ★ Information about arrears to be received by the company.

★ **Annual General Meeting**

- ★ All shareholders will participate in this meeting which is held once in a year.
- ★ The company must give 21 days notice to shareholders prior to the meeting.
- ★ **Objectives of Annual General Meeting**
- ★ Election of directors for the next year.
- ★ Appointment of auditors.
- ★ Auditors will review the annual accounts of the company and report on the accuracy of these accounts.
- ★ Shareholders will elect and approve the appointment of auditors.
- ★ If auditors are already hired, the shareholders will review their performance and decide whether to continue with current auditors or to change them.
- ★ Auditors will also be asked whether they are willing to work with the company or not.
- ★ Declaration of dividend.
- ★ Decision for directors' remuneration.
- ★ Auditors will report on the companies accounts in terms of:
 - ★ Accuracy
 - ★ No fraud found
 - ★ Conformity with the Companies Ordinance 1984.

★ **Extra Ordinary General Meeting**

- ★ **This meeting will be called when there are:**

- ★ Some extra ordinary circumstances.
- ★ Some special type of business.
 - ★ Decision for debentures.
 - ★ The company can change its memorandum and articles of association in extra ordinary general meeting.

★ **Share Capital**

- ★ The capital with which the company gets registration is called Authorized Capital of the company.
- ★ The part of capital that has been offered to general public is called paid up or issued capital.
- ★ The part which has not yet been issued to general public is called un issued capital.
- ★ If people have applied for more capital than required, the company will issue the shares by balloting and return the excess money to the general public.
- ★ If people have applied for less capital than required, whatever amount has been received will be the paid up capital of the company.

★ **Winding up of the company**

★ **Voluntary winding up**

- ★ The members of the company decide about winding up of the company.

★ **Special Resolution**

- ★ Members will present special resolution in the extra ordinary general meeting regarding winding up of the company. If approved by the members, the company will be dissolved.

★ **Winding up by court**

- ★ Members have applied to the court for winding up of business.
- ★ **If court feels that:**
- ★ Business is not in the benefit of the society.
- ★ Objective of the business is not in line with the culture of the country.
- ★ Business is deceiving the general public.
- ★ The court will order that business should be closed immediately.

Lecture 08

★ **Co-operative Societies**

- ★ Co-operative societies are group of people who form the business to co-operate with each other.
- ★ The main purpose of co-operative societies is to co-operate with each other through self help.
- ★ People join these organizations as volunteers.

★ **Advantages of Co-operative Societies**

- ★ This system provides high standard of life due to sharing of resources.
- ★ Formation is easy because Government support these kind of organizations.
- ★ People running the business have equal rights in decision making regardless of number of shares or amount invested in the business.

★ **Economic Democracy**

- ★ People sit together and decide about the business of the society.
- ★ Elimination of middle man results in cheaper products.
- ★ Government gives financial assistance to these type of businesses.
- ★ Friendly atmosphere is developed in the society due to close relationship in the people running the business.
- ★ Employment opportunities are created by such businesses.
- ★ A sense of mutual co-operation is developed in the society.
- ★ An opportunity to keep demand and supply in balance.
- ★ This kind of business requires less expenditure.

★ **Disadvantages of Co-operative Societies**

- ★ People do not have sufficient capital to start such business.
- ★ **Unavailability to hire professional manager because:**
- ★ People do not have money in remote areas.

- ★ There are no such people in those areas.
- ★ People do not have experience of such business.
- ★ Lack of secrecy.
- ★ Unavailability of new technology.
- ★ These are not businesses in true sense. People might not have confidence in these businesses.
- ★ Banks might not provide loans to these businesses.
- ★ Interference of the Government.

★ **Entrepreneurship**

Entrepreneurship is that ability in which an individual tries to find the opportunity, take risk and avail these opportunities.

★ **Who are Entrepreneurs?**

★ **People have more entrepreneurial abilities who:**

- ★ Have aspiration.
- ★ Are more strategic.
- ★ Have the vision.

★ **Characteristics of Entrepreneurs**

- ★ Resourcefulness
- ★ Abilities
- ★ Concern of being good.

Lecture 09

★ **Entrepreneurial Characteristics**

★ **Personal Interest**

- ★ Interest for their own development.

★ **Customer Relationship**

- ★ Long term relations with the customers.
- ★ Desire to establish own business.
- ★ Need of control.
- ★ Ability to deal with uncertainties.

★ **Business Plan**

A document which contains the objectives of the business and the ways to achieve these objectives.

★ **Components of Business Plan**

There are two situations:

★ **Buying a business.**

★ **Starting from the scratch.**

- ★ Objectives of the business.
- ★ Marketing Components.
- ★ Financial Components.

★ **Components of Business Plan started from scratch**

★Objectives of the business:

- ★ Name of the business.
- ★ Name should indicate the type of business.
- ★ Name should be simple.
- ★ Uniqueness of name.

★Legal considerations:

- ★ Avoid the names not encouraged by the law. e.g. National Heroes, religious personalities etc.
- ★ Location of the business.

★Marketing Part:

- ★ Who will be the customers of the business?
- ★ Where are they located?
- ★ What would customers like to pay for the product or service?
- ★ What are the benefits, the customers are expecting from the product or service?

★Analysis of competitors:

- ★ What is the nature of competition in the market?
- ★ Who are the competitors of the business?
- ★ How product of the business is different from product of the competitors?

★Promotional Part

- ★ How will the message of the business be promoted in the general public?
- ★ How will the business be launched?

★Financial Part

- ★ What will be the investment of the business and how much should be borrowed?
- ★ What are going to be expected revenues in a given period of time?
- ★ What would be the expected expenses of the business in a given period of time?
- ★ What would be net income or net profit in a given period of time?
- ★ Is the business feasible or not?

★Administrative Part

- ★ What would be the structure to handle the business?

Lecture 10

★ Franchising

- ★ An agreement between two parties in which one party passes on the rights to the other party.

★Rights include:

- ★ Right to use the trade mark.
- ★ Right to use the name.
- ★ Right to use systems, methods and researches.
- ★ Right to use packing material.

★ Parties to Franchise agreement

There are two parties:

★Franchiser

★Franchisee

- ★ Franchiser is one who sells the rights to franchisee.

★ **Advantages of Franchising**

- ★ Franchiser gets a huge amount of money from franchisee without doing anything.
- ★ Franchisee gets access to big business.
- ★ Failure rate of franchise business is lower than any other business.
- ★ Franchisee uses world wide tested brand and tested procedures that is why failure rate is lower in this type of business.
- ★ Franchiser provides guidance to franchisee in all affairs of the business.
- ★ Choice of location
- ★ Franchiser is always there to support the franchisee in all kinds of matters.

★ **Disadvantages of Franchising**

- ★ High cost.
- ★ Proportionate profit is given to franchiser by franchisee every year.
- ★ There are too many restrictions from franchiser on the franchisee.

★ **New Trends in the Business**

★ **E-Commerce or E-Business**

- ★ Using internet for marketing products.

★ **Women in business**

- ★ So many women have come in so many areas of business.
- ★ Business will be better displayed, well mannered staff, more knowledge of the needs of customers and more market oriented.

★ **Global opportunities**

- ★ People have the awareness of global market.
- ★ Internet has played major role in accessing global markets.
- ★ In Pakistan, people got huge success globally but could not make a brand name in global market.

★ **Factors for lower failure rate**

- ★ Government's preferences and priorities.
- ★ Government is convinced to support corporate sector.
- ★ Businesses are now being set up on more professional grounds.
- ★ Support from financial institutions.
- ★ General economy of the country.
- ★ People are acquiring professional knowledge about business.
- ★ Government has developed many training centre to train people related to business.
- ★ Skills development.
- ★ Institutions to develop man power.

Lecture 11

★ **Causes of Failure in Business**

- ★ Causes of Failure in People are not capable of handling business.
- ★ Some people are not capable enough to know markets.
- ★ People should try to learn the abilities to run the business.
- ★ People do not have experience required for a business.

★ **We need to have control over:**

- ★ Production Process

- ✧ Cost
- ✧ Wastage
- ✧ Complaint handling
- ✧ Quality
- ✧ Insufficient capital
- ✧ Bad Luck
- ✧ National Disaster

✧ **Reasons for Success in Business**

- ✧ Hard work
- ✧ Dedication and Commitment
- ✧ Response of Market
- ✧ Competence – The ability to work
- ✧ Knowledge of Market
- ✧ Knowledge of Product
- ✧ Knowledge of Systems
- ✧ Luck and Act of God
- ✧ Law of Government
- ✧ Law related to health
- ✧ Climate change
- ✧ Disaster

✧ **Joint Venture**

- ✧ Two or more people or organizations join hands and decide to do a business.

✧ **Advantage of Joint Venture**

- ✧ Combination of skills and abilities.

✧ **Strategic Alliance**

- ✧ Two or more than two organizations collaborate for mutual profit.

✧ **Decision involved in Strategic Alliance**

- ✧ Profit Sharing
- ✧ Client Handling

✧ **Merger**

- ✧ Two or more organizations combine together and form a new organization.

✧ **Acquisition**

- ✧ One business acquires the other business.

✧ **Advantages of Acquisition**

- ✧ Expansion of size
- ✧ To reduce competition

Lecture 12

✧ **Imports**

- ✧ Goods produced somewhere else and sold domestically.
- ✧ Chemicals
- ✧ Technology (Machinery, Software & Hardware, Expertise)

✧ **Factors to be considered while importing**

- ✧ Identification of products to be imported.
- ✧ Procedures, methodologies, technical processes and documents for imports.

★Exports

- ★ Goods produced domestically and sold in some other country.

★Advantages of Exports

- ★ Support of Government.
- ★ High Profits.
- ★ Pride for the country.
- ★ Utilization of production capacity.

★GATT – General Agreement on Tariff & Trade.

- ★ An agreement between the countries that encourages international trade.

★WTO – World Trade Organization

- ★ Scope of WTO
- ★ WTO insists on removing the artificial barriers to encourage international trade.
- ★ WTO was organized on January 01, 1995.

★Per Capita Income

Per Capita = $\frac{\text{Total income of the country/}}{\text{Total population}}$

★ Tools for measuring economies of the world

- ★ World can be divided in to three major categories on the basis of per capita income.

★High income countries

- ★ Those countries where people are earning US \$9000 or more.

★Middle income countries

- ★ Those countries where people are earning between US \$765 and \$9000.
- ★ Tools for measuring economies of the world

★Lower income countries

- ★ Those countries where people are earning below US \$765.

★Pakistan has a little below than US \$765 income line and is moving towards middle income class countries.

★Pakistan is exporting

- ★ Sports items
- ★ Agricultural products (rice)
- ★ Textile products (Bed Sheets, T-Shirts, Towels etc.)

★Import and Export Balance

- ★ Gap between imports and exports is called surplus and deficit.
- ★ It varies from country to country.

★Balance of Payment

- ★ Balance of payment = Total receipts - Total payments
- ★ If receipts are greater, balance of payment is favorable.
- ★ If payments are greater, balance of payment is unfavorable.

★ Level of involvement in international business

★Imports or Exports

- ★ We can be importer and exporter.
- ★ We try to see opportunity in international market to consume surplus products.
- ★ This is called exports.

★International Firms

- ★ International firms have operations world wide.
- ★ These firms are also called multinationals.

- * Multinationals design products separately for each country.

★ **Global Organizations**

- * Those organizations which consider the whole country as single market are called global organizations.
- * These organizations have standardized products all over the world.

★ **International Organizational Structure**

★ **Independent Agent**

- * A person or an organization that works for an exporter or importer.

- * Appointment of representative abroad.
- * Licensing agreement,
- * Independent Branch Office.
- * Strategic Alliance.
- * Direct Foreign Investment.

Lecture 13

★ **Barriers to International Trade**

- * Social and Cultural Changes.
- * Different countries have different life styles.
- * Religion.
- * Every religion has its own set of rules for its followers.
- * Religion asks for spending on certain things and stops from spending on certain things.
- * Climate
- * Laws
- * There are different laws in different parts of the world.
- * These include laws related to:
 - * Health
 - * Safety
 - * Customer Relationship
 - * Pricing
 - * Packing
 - * Environment
- * Economic Differences
 - * Per Capita Income is different in different countries.
 - * Different people have different economic systems.
 - * People preference for a particular product
- * Political System
- * **Tariff**
 - * Tax levied on goods entering into a country.
 - * It is also used as a measure to reduce imports in a country.
- * **Quota**
 - * Limit imposed by one country on importing commodities from another country.

★ **Subsidies**

- ★ Concessions provided by a country to its producers in order to protect economy.

★ **Business Ethics**

- ★ Ethics are basic beliefs, a company decides to pursue and implement during a course of action.

★ **Ethical Behavior**

- ★ A system that confirms the beliefs of the society.
- ★ Business is being run within that system.
- ★ Corporate Citizenship is a practice of the company confirmed by the society.
- ★ Ethical Behavior in Managerial Practices include:
 - ★ Responsibility towards employees.
 - ★ Relationship with other organizations.
 - ★ Interaction with Government.
 - ★ Plans to initiate ethical behavior towards people.
 - ★ To initiate ethical programs.

★ **Corporate Social Responsibilities**

- ★ To think about benefiting the society and avoid harmful activities for the society is called Corporate Social Responsibilities.
- ★ These include:
 - ★ Ethical attitude towards customers.
 - ★ Dealing with employees.
 - ★ Ethical communication with Government and local bodies.
 - ★ Ethical behavior towards stake holders.

Lecture 14

★ **Stake Holders**

- ★ People who are interested in the affairs of the business in one way or the other.
- ★ Stake holders include:
 - ★ Customers
 - ★ Employees
 - ★ Suppliers
 - ★ Bankers
 - ★ Government
 - ★ Society at large

★ **Rights of Customers**

- ★ Consumerism
- ★ Protecting the rights of customers.
- ★ To get a product which is up to the expectations of the customers.
- ★ Customer Safety.
- ★ Right to get information about:
 - ★ Product
 - ★ Supplier
 - ★ System
 - ★ Procedures
 - ★ Standards

- ✧ Ingredients of the product
- ✧ Origin of the company
- ✧ Right to get information about:
- ✧ Method of manufacturing
- ✧ Quality standards
- ✧ Right to be heard
- ✧ Right to choose
- ✧ Quality Service

✧ **Responsibilities of the Organization towards Environment**

- ✧ Reprocessing of waste water.
- ✧ Recycling of waste material.
- ✧ Processing of smoke.
- ✧ Reprocessing of heat.

✧ **Ethics for Advertising**

- ✧ Truthful or Truth less Communication
- ✧ Objectionable Products
- ✧ Objectionable Appeals
- ✧ Fear Factor
- ✧ Sexual Connotations
- ✧ Objectionable Timings
- ✧ Smoking
- ✧ Selling product to underage customers
- ✧ Legal Commitments
- ✧ Discriminations
- ✧ Health and Safety of Employees

✧ **Whistle Blowers**

- ✧ People who see irregularities and bring them in the knowledge of the management.

✧ **Management**

- ✧ Getting things done through others.
- ✧ Manager
- ✧ A person who practices the functions to achieve management's objectives.

✧ **Functions of Managers**

✧ **Planning**

- ✧ Thinking for the future.

✧ **Organizing**

- ✧ Decision about activities performed by the workers.
- ✧ Grouping the activities
- ✧ Delegation of authorities

✧ **Staffing**

- ✧ Filling out the vacant positions.

✧ **Coordination**

✧ **Communication**

- ✧ Receiving information from various sources.
- ✧ Processing of information.
- ✧ Dissemination of information.
- ✧ Distribution of information.

- ★ **Conflict handling**
- ★ **Negotiation**
- ★ **Resource Allocation**
- ★ **Controlling**

★ To make sure that organization is moving towards the right direction.

Lecture 15

★ **Managerial Skills**

★ **Conceptual Skills**

★ Abilities to think at planning and organizing stage.

★ **Interpersonal Skills**

★ Abilities to deal with others.

★ **Technical Skills**

★ Knowledge of processes and operations.

★ **Goals**

★ Destination where a company wants to reach.

★ **Strategy**

★ Set of plans for long term orientations.

★ **Levels of Strategies**

★ **Corporate Level Strategies**

★ The strategies that cover all the operations, processes and units of organizations.

★ **Strategic Business Unit (SBU)**

★ A part of organization that requires separate planning.

★ **Functional/Operational Level Strategies**

★ The level at which all functions or operations are performed.

★ **Objectives of Goal Setting**

★ Goals give us directions.

★ Resource Allocation.

★ Setting culture of the organization.

★ Assessment of performance.

★ **Mission Statement**

★ The purpose for survival of an organization.

★ Mission Statement describes life time objectives of the organization.

★ Mission statement is a general statement.

★ It is written in terms of:

★ Customer satisfaction

★ Quality of life

★ Service of humanity

★ Mission statement is a long term plan.

★ **Types of Goals**

★ Long Term Goals

★ Medium Term Goals

★ Short Term Goals

★ **Short Term Goals**

- * A plan for less than one year.

- * **Medium Term Goals**

- * A plan for one year to three years time.

- * **Long Term Goals**

- * A plan for more than three years.

- * Length of plan depends upon type of activities.

- * Research shows that people, who plan, have higher rate of success in life.

- * **Human Resource Management (HRM)**

- * Human Resource Management is an area that deals with people who work in organizations.

- * HRM deals with the activities of people.

- * These Include:

- * Attracting people in the organization

- * Maintaining them

- * Recruitment

- * Selection

- * HRM deals with the activities of people.

- * These Include:

- * Training

- * Performance appraisals

- * Compensation

- * Health and Safety

- * **Scope of HRM**

- * Human Resource Planning

- * Type of people required

- * When required

- * How many people required

- * Job Analysis

- * Recruitment

- * Training

- * Compensation

- * Health and Safety

- * Labor Union

- * **Job Analysis**

- * Collecting all the information related to a job.

- * It is divided into two parts:

- * **Job Description**

- * **Job Specification**

- * Job description describes the activities of a particular job.

- * It includes:

- * Job Title

- * Job Location

- * Working Environment

- * Supervision

- * **Job Specification**

- * Job Specification describes human skills required to perform a job.
- * It includes:
 - * Qualification
 - * Gender
 - * Age
 - * Experience
 - * Special Skills
 - * attitude

Lecture 16

★ **Human Resource Planning**

★ **HR Planning Includes:**

- * What is the gap between human Resource demand and supply in the market.
- * What is the condition of human resource supply in the market.

★ **Sources to find people**

- * Internal Sources
- * External Sources

★ **Skills Inventory**

- * A chart that shows skills of workers in the organization.

★ **Replacement Chart**

- * A chart that shows turnover in an organization.

★ **Turnover Rate**

- * Tendency to leave jobs in an organization.
- * Retention.
- * To retain the people in the organization.
- * Expansion Plans..
- * Replacement on the basis of performance.

★ **Recruitment**

- * The process of attracting the people for the job.
- ★ **Advantage of recruitment within the organization**
 - * People are already trained.
- ★ **Advantages of recruitment outside the organization**
 - * Variety of Talent
 - * Variety of Abilities
 - * Variety of Qualifications
- ★ **Equal Employment Opportunity**
 - * No discrimination on any grounds for hiring people.

★ Sources to find People

★ Informal Search

- ★ This method is used when reference is also required.

★ Job Posting

- ★ Putting notices for job on various places in the organization
- ★ Places can be:
 - ★ Cafeteria
 - ★ Fair Price Shop
 - ★ Sports Field
- ★ Putting notices for job on various places in the organization
- ★ Places can be:
 - ★ Reception Desk
 - ★ Notice Board
 - ★ Union Office

★ Educational Institutions

- ★ Consulting educational institutions for suitable candidates for the job.
- ★ Educational Institutes are consulted when:
 - ★ Fresh Graduates are required.
 - ★ There are not many institutions for a particular job.
 - ★ Short Listing of institutions.
 - ★ Organizations involve teachers in the selection process.

★ Professional Associations

- ★ This method is used when people for senior posts are required.

★ Recruitment Agencies

- ★ These are the organizations which have expertise in selecting people.
- ★ These agencies are used when:
 - ★ Time span for selection is short.
 - ★ Jobs are highly technical in nature.
 - ★ Employer and employee are at a distant place.

★ Advertisement

- ★ Giving advertisement in media.
- ★ Media is used when:
 - ★ Large numbers of jobs are available.

★ Disadvantages of using media

- ★ Large numbers of applications are received.
- ★ It is difficult to handle large number of applications.
- ★ Costly

★ Selection

- ★ The most important stage in HRM process.
- ★ It includes:
 - ★ Filling up forms
 - ★ Interviewing people
 - ★ Developing tests

★ Application Blank

- ★ A form designed by the employer for the prospective employee to fill it out.
- ★ It records data according to the requirement of the organization.

★ **Test and Interview**

★ Use of test and interview depends upon the nature and level of the job.

★ **Types of Tests**

★ **Achievement Test**

★ Test of knowledge acquired by the candidates in educational institutions.

★ **Psychological Test**

★ To determine the attitude and traits of the candidates.

★ **Skills Test**

★ Aptitude test

★ Test of prior learning

★ Skills test

★ **Medical Test**

★ To keep in record the physical condition of the candidate before joining the organization.

★ To make sure that candidate does not have any transferable disease.

★ **Considerations for Test Development**

★ **Validity**

★ **Reliability**

★ **Validity**

★ **Content Validity**

★ Contents of the test should be relevant to the requirement.

★ **Construct Validity**

★ Sequence of the questions.

★ **Face Validity**

★ Appearance of the test.

Lecture 17

★ **Infrastructure for Test**

★ Space

★ Proper Temperature

★ Enough Quantity of Stationary

★ Evaluation of Test

★ **Interview**

★ Any verbal interaction is called interview.

★ **Job Interview**

★ A method of selection in which we interact with the candidate verbally.

★ **Types of Job Interview**

★ Telephonic Interviews

★ Preliminary Interviews

★ Selection Interviews

★ **Techniques for Final Interviews**

★ **Pattern Interview**

★ Pre-decided questions are asked in a pre-defined sequence.

★ Non Pattern Interview

- ★ Questions are asked according to the situation

★ Shortcoming of Pattern Interview

- ★ Interviewer can not ask any question other than pre-defined questions.

★ Shortcoming of Non Pattern Interview

- ★ Possibility of non-professional and irrelevant questions.

★ Mix Interview

- ★ An interview in which some questions are pre-defined and some are situational.

★ Ways to conduct Interview

- ★ One person interview
- ★ Panel Interview
- ★ A group of people related to the job conduct interview.

★ Arrangements for conducting Interview

- ★ Proper place
- ★ Preparation for questions
- ★ Read out the resumes of candidates.
- ★ Human Resource Development
- ★ Human Resource Development is done through training.

★ Methods for Training

- ★ On job Training
- ★ Learning while working
- ★ Off job Training

★ Difficulties in On Job Training

- ★ In certain jobs, on job training is not possible.

★ Methods for Off Job Training

★ Lectures

- ★ Cheaper method of training.
- ★ For some jobs, it is the most appropriate method.

★ Vestibule training

- ★ Artificial situation created for training people.
- ★ Role Play
- ★ Business Games
- ★ Case Studies

★ Performance Appraisals

- ★ Evaluation of performance

★ Reasons for performance appraisals

- ★ Validation of Human Resource Program
- ★ Pay for performance

★ Compensation

- ★ Compensation can be:
- ★ Monetary reward
- ★ Non Monetary reward

★ Incentives

- ★ Plans for encouragement of employees in the organization.

★ Types of Incentives

★ **Organizational Level Incentives**

- ★ Paid to everyone in the organization.

★ **Individual Incentives**

- ★ Paid to individual employees who have done good job.

Lecture 18

★ **Individual Incentives**

- ★ Employees are paid for:
- ★ Good performance on job.
- ★ Good performance during training.

★ **Collective Incentives**

- ★ Incentives are paid to whole department.
- ★ Incentives for the whole organization can be:
- ★ Profit Sharing.
- ★ Benefits other than salaries and wages.

★ **Compensation**

- ★ Salary is paid for longer period. e.g. for a week, for a fortnight, for a month or for a year.
- ★ Wages are paid for short term period. e.g. for a day or for an hour or on the basis of units completed.
- ★ Other ways for compensation can be:
- ★ Free or cheaper food.
- ★ Retirement Plans.
- ★ Pensions.
- ★ Medical Facilities.
- ★ Transportation Facilities.
- ★ Assistance for children education.

★ **Equal Employment Opportunity (E.E.O)**

- ★ No employee on any base will be discriminated for offering job opportunities.
- ★ Base can be:
- ★ Gender
- ★ Nationality
- ★ Religion
- ★ Area
- ★ Life Style
- ★ Race
- ★ In many countries, it is against the law and ethics.
- ★ Some people are perceived fit for a particular job. This concept is known as Stereotyping.
- ★ Managers should not evaluate performance on the basis of:
- ★ Gender
- ★ Nationality
- ★ Race
- ★ Religion
- ★ **Why do we need Equal Employment Opportunity (E.E.O)?**

- ★ Job description does not provide any base for discrimination.
- ★ If law requires, we have to obey the law.
- ★ Ethics.
- ★ Research has shown, variety of people can perform better in an organization. This phenomenon is called Work Force Diversity.
- ★ Managers should encourage different types of people to join organization in order to enhance productivity.
- ★ **Collective Affairs of Employees**
- ★ Employees form labor unions in the organization.
- ★ There could be more than one labor organizations in the company.
- ★ Collective Bargaining agent (CBA) is a person who has been elected by all the workers in the organization through legal procedures.
- ★ **Negotiations can be on:**
- ★ Salary
- ★ Working Conditions
- ★ Timings
- ★ Facilities
- ★ Benefits
- ★ Attitudes
- ★ **Motivation**
- ★ Motivation is a force that forces people towards a task.
- ★ **Classical Theory of Motivation**
- ★ People are motivated because of money or material objects.
- ★ **Fredrick Taylor's Theory of Scientific Management**
- ★ Every job should be studied scientifically.
- ★ Jobs should be divided on the basis of tasks and skills of labor.
- ★ Pay should be attached with productivity.
- ★ **Time & Motion Studies**
- ★ Time spent on jobs should be studied using scientific devices and motions of machines or human motions.
- ★ **Objection on Fredrick Taylor's Theory of Scientific Management**
- ★ This theory considers human beings as machines.
- ★ **Hawthorn Studies**
- ★ Basic purpose of these studies was "Effect of light on productivity".
- ★ Productivity depends upon human relations.
- ★ Shortcoming of this theory was that human moods, human behavior, human liking and disliking and human interest were ignored.
- ★ Hawthorn Studies became a base for behavioral studies in organizations.

Lecture 19

- ★ **McGregor Theory - X**
- ★ Every normal human being dislikes work by nature.
- ★ People work because of some pressure.
- ★ Pressure can be:
- ★ Salary
- ★ Advancement

- ✧ Respect
- ✧ Some other force
- ✧ **McGregor Theory - Y**
- ✧ People inherently like to work.
- ✧ **McGregor Theory – X & Y**
- ✧ X-Type managers might:
 - ✧ Use punishment and threat to make people work.
 - ✧ Control activities of the work very closely.
- ✧ Y-Type managers will identify the barriers which are causing problems for workers and try to eliminate those barriers.
- ✧ In some situations, managers have to adopt X-type behavior and in some situations, they have to adopt Y-type behavior.
- ✧ Culturally, in societies, managers are moving towards Y-type behavior from X-type behavior.
- ✧ **Why do People work?**
- ✧ Need
- ✧ A state of felt deprivation.
- ✧ **Maslow's Hierarchy Of Needs**



- ✧ **Biological Needs**
- ✧ Biological needs are related to human body's survival. e.g. food, drink, air, sleep etc.
- ✧ **Safety Needs**
- ✧ Safety from:
 - ✧ Cold
 - ✧ Heat
 - ✧ Sand
 - ✧ Storm
 - ✧ Earthquake
 - ✧ Animals

★ Enemies

★ **Social Needs**

★ **Self Esteem**

★ Worth attached by human beings to themselves.

★ People who have high self esteem are more productive.

★ **Self Actualization**

★ Fulllest utilization of one's potential.

★ **Use of Hierarchy in Motivation**

★ Biological needs can be fulfilled by:

★ Giving salaries.

★ Providing free or cheaper food to employees.

★ Providing routine items at concessional prices.

★ **Safety Needs**

★ Organization can provide safety devices to employees. For instance:

★ Helmet

★ Glasses

★ Gloves

★ **Safety Needs**

★ Organization can provide safety devices to employees. For instance:

★ Special purpose shoes

★ Medical Facilities

★ Houses

★ House rent

★ Pick & drop service

★ Insurance

★ Pension plans

★ Preventing people from accidents

★ **Social Needs**

★ Organizations encourage informal organizational activities.

★ These include:

★ Combined lunch or dinner

★ Sports

★ Fun fair

★ Musical Programs

Lecture 20

★ **Use of Hierarchy in Motivation**

★ **Self Esteem**

★ Worth of human beings.

★ These include:

★ Designation of Individuals.

★ Status in the organization.

★ Recognition of employees in the organization.

★ Self esteem has direct relationship with productivity.

★ Various techniques can be used to make self esteem of employees high. These can be:

- ✧ Finding titles for employees

- ✧ Recognition

- ✧ Awards

- ✧ Cash rewards

- ✧ Increment in the salary

- ✧ Promotion

- ✧ Raising status of employees

- ✧ **Self Actualization**

- ✧ Fullest utilization of one's potential.

- ✧ These include:

- ✧ High Challenges

- ✧ High position in the organization

- ✧ **Criticism on Maslow's hierarchy theory**

- ✧ It is possible that human needs may deviate from the order given by Maslow.

- ✧ There is a question mark whether needs finish after self actualization or not.

- ✧ **Two Factor Theory or Hygiene theory**

- ✧ Herzberg presented this theory by taking the phenomenon of human hygiene.

- ✧ Two factors work in the organization:

- ✧ Hygiene factors

- ✧ Motivators

- ✧ Factors required to keep employees in the organization are called hygiene factors.

- ✧ Factors used to get high productivity from workers are called motivators.

- ✧ Hygiene factors fall with the biological needs, safety needs and partially with social needs of Maslow's hierarchy theory.

- ✧ Motivators are almost similar to social needs, Self esteem needs and self actualization needs of Maslow's hierarchy theory.

- ✧ Both factors should be present in the organization at the same time to get productivity from workers.

- ✧ **Expectancy Theory**

- ✧ People in the organization are motivated with:

- ✧ Expectations about reward.

- ✧ Assurance of getting reward by doing a particular task.

- ✧ **Equity Theory**

- ✧ Equivalence in inputs and outcomes.

- ✧ Inputs of employees in an organization are:

- ✧ Level of education

- ✧ Skills

- ✧ Experience

- ✧ Reputation

- ✧ Hard work

- ✧ Connections

- ✧ Outcomes of employees in an organization are:

- ✧ Salaries

- ✧ Designations

- ✧ Promotions

- ✧ Benefits

- ★ Social Status
- ★ Respect in the organization
- ★ Opportunities
- ★ **Equity Theory**
- ★ Individual will also compare his input/outcome with other individual's input/outcome.
- ★ **How can Equity Theory be implemented?**
- ★ Managers have to explain reasons for the difference of outcomes of employees in order to keep them motivated.
- ★ People compare their rewards with the market as well.

Lecture 21

★ **Reinforcement Theory**

- ★ To strengthen desired behavior at work place.
- ★ To force the workers to adopt that behavior.
- ★ There are two ways for reinforcement:
- ★ Positive reinforcement
- ★ Negative reinforcement
- ★ Positive reinforcement means to encourage a particular behavior.
- ★ Negative reinforcement means to discourage a particular behavior.

★ **Human Relations**

- ★ Human Relations can be:
- ★ Employee to employee
- ★ Employee to employer
- ★ Purpose of human relations is to give a feeling of a family.

★ **Job Enrichment**

- ★ This is needed when people are under performing.
- ★ Job enrichment means adding something into the job.
- ★ To provide opportunities to employees to apply their talent, knowledge and creativity for performing more in the organization.

★ **Job Re-designing**

- ★ To re-design a task.

★ **Job Sharing**

- ★ People share the work.

★ **Management by Objective (MBO)**

- ★ Idea of MBO is opposite to the traditional management.
- ★ Decision and planning is made in collaboration with the subordinates.

★ **Difficulties with MBO**

- ★ People do not understand the philosophy of MBO.

★ **Application of MBO**

- ★ Subordinates set their goals by themselves with the consultancy of top management.

★ **Psychological Contract**

- ★ A contract between employee and the organization.
- ★ With the achievement of psychological contract, workers will have high level of morale and satisfaction.

★ **Leader**

- ★ A person who influences people for the achievement of pre-defined goals.

★ **Leadership**

- ★ Ability of an individual to influence others.

★ **Difference between a leader and a manager**

<u>Leader</u>	<u>Manager</u>
Leader is a change agent.	Manager is more concerned with the status co.

★ **Leadership**

- ★ Powers of leaders
- ★ Position powers
- ★ Personal powers
- ★ All those powers/authorities which are attached to a position are called position powers.
- ★ Position powers are transferable.
- ★ Powers attached with some person are called personal powers.
- ★ These are non transferable.

★ **Types of leaders**

★ **Autocratic leaders**

- ★ Leaders who take decisions by themselves.
- ★ This type of leadership is used in those circumstances when there is not much time for decision making.
- ★ These types of leaders have more centralized powers.
- ★ Managers take more powers when:
- ★ Managers do not trust their subordinates.
- ★ Subordinates might not have enough training.

★ **Democratic Leaders**

- ★ Democratic leaders share the ideas.
- ★ In this style, leaders will encourage more communication.

★ **Free-Rein leaders**

- ★ Managers depend more upon subordinates.

- * Encourage the subordinates to make decisions by themselves.
- * This approach is practiced when:
 - * Staff is highly motivated.
 - * People are working in synergistic environment.
 - * Fully trained people.
- ★ **Difference of communication in leadership styles**
 - * In autocracy, there will be downward communication but no upward communication. i.e. one way communication.
 - * In democracy, there is both way communications. I.e. upward and downward communication.
 - * In free rein, there will be more communication among subordinates and occasional communication among subordinates and managers.
 - * Method of decision making depends upon the situation.
- ★ **Contingency approach of Leadership**
 - * Every job has its own uniqueness.
 - * With the change in task, different type of leaders and different leadership style is required.

Lecture 22

Marketing

- * All those activities which make the exchange possible.
- * Exchange includes:
 - * Exchange of goods, services and ideas from one person, organization and place to another person, organization and place.
 - * A system of business activities designed to plan, price, place and promote goods, services and ideas to potential customers.
- ★ **Potential Customers**
 - * A person, a body, an institution or a firm who has:
 - * Need
 - * Money
 - * Willingness to spend money.
- ★ **System**
 - * A set of interrelated and interdependent activities.
- ★ **Planning for marketing**
 - * What should be marketed?
 - * When should be marketed?
 - * Where should be marketed?
 - * Distribution
 - * Pricing
 - * What is going to be the price of the product?
 - * Promotion
 - * Should the product be promoted or not?
- ★ **Marketing**
 - * Product is:
 - * Anything that is offered for sale in the market.
 - * All those things which are tangible.

✧ Services are intangible. i.e. which are not touchable.

✧ Marketing of ideas.

✧ **Marketing**

✧ Marketing ideas can be applied on non business activities. This is called social/societal marketing.

✧ This includes:

✧ Asking for donations.

✧ Drive slow.

✧ Say your prayers.

✧ Need is a state of felt deprivation.

✧ Marketers satisfy the needs through products, services, objects and ideas.

✧ Market is a place where people exchange goods, services and ideas.

✧ **Stages in Marketing**

✧ **Production oriented stage**

✧ All the efforts are made to produce more and more.

✧ **Product oriented stage**

✧ Management focuses on quality of product rather than quantity of product.

✧ **Sales oriented stage**

✧ Sellers feel the need of an organized institution that coordinates all activities related to sales.

✧ **Marketing oriented stage**

✧ Unsatisfied needs of the customers are satisfied.

✧ **Societal Marketing stage**

✧ Benefits of society are considered by the organizations.

✧ **Value**

✧ Difference between cost and benefits of the product.

✧ **Utility**

✧ Ability of any commodity to satisfy the needs.

✧ **Forms of Utility**

✧ **Time Utility**

✧ Customers get the commodity when they want.

✧ **Form Utility**

✧ Converting the shape of the product from one form to another.

✧ **Place Utility**

✧ Transportation of product from one place to another.

✧ **Ownership Utility**

✧ Product owned by the manufacturer is distributed to the end buyers through different steps.